

nership assessed at a certain sum and payable by instalments, carrying interest at 5 per cent., the tenant for life is allowed 4 per cent. from the *death of the testator* on the value taken at the *expiration of one year* from the testator's death (*e*).

(*η*) **Discretion expressly given by the testator.** — If it appear from the terms of the will that the testator intended to give his trustees a *discretion* as to the time of conversion, which discretion has been fairly exercised, and that the tenant for life was to have the actual income until conversion, the case must be governed by the testator's intention, and not by the general rule (*f*). But if the power be so expressed as to negative the intention of varying by its exercise the rights of the parties, the general rule will prevail (*g*).

[11. **Trade profits.** — If the trust estate is improperly employed in trade, and large profits accrue, the tenant for life is only entitled to interest at 4 per cent. on the amount of capital so employed, and the rest of the profits must be added to the capital; but if the income is allowed to remain in the business and thereby conduces to subsequent accretions of profits it would seem that the tenant for life is entitled to so much of these accretions as is attributable to his share of the income remaining in the business, and if necessary an enquiry will be directed to ascertain the amount (*h*).]

* 12. **Reversionary interest converted in favour of** [*305] **tenant for life.** — The principle upon which the court implies in favour of those in remainder a direction to convert wasting property (namely, that both tenant for life and remainderman were intended to share in the enjoyment of it), demands equally in favour of the *tenant for life* a conversion of *future* or *reversionary* interests (*a*). Hence if a testator entitled to a reversion expectant on lives direct a

(*e*) *Re Llewellyn's Trust*, 29 Beav. 171; *Meyer v. Simonsen*, 5 De G. & Sm. 723.

(*f*) *Mackie v. Mackie*, 5 Hare, 70; *Wrey v. Smith*, 14 Sim. 202; *Sparling v. Parker*, 9 Beav. 524; *Johnstone v. Moore*, 4 Jur. N. S. 356; *Re Sewell's Trust*, 11 L. R. Eq. 80; [*Re Chan-*

cellor, 26 Ch. D. 42;] and see *Murray v. Glasse*, 17 Jur. 816.

(*g*) *Brown v. Gellatly*, 2 L. R. Ch. App. 751; [*Porter v. Baddeley*, 5 Ch. D. 542.]

[(*h*) *Re Hill*, 50 L. J. N. S. Ch. 551.]

(*a*) *Howe v. Lord Dartmouth*, 7 Ves. 148.